

COMPANY BACKGROUND

RADIO SHACK®

Radio Shack®, a division of Tandy Corporation, is America's *ultimate electronics service store* for audio, video, personal computer, telephone and personal electronic products and components.

Founded in 1921 and named for wooden "radio shacks" constructed on upper decks of World War I ships, Radio Shack began as a Boston-based mail-order company catering to ham operators and electronics buffs. It issued its first catalog in 1940 and began marketing its products under the Realistic® private label in 1954. By the end of 1962, the company had grown to nine stores but was more than five million dollars in debt.

In 1963, for as little as \$300,000, Charles Tandy negotiated a deal for Tandy Corporation to purchase Radio Shack. He immediately put his merchandising expertise to work, reducing inventories and selling products with broad consumer appeal. After only two years under his leadership, Radio Shack turned a five million dollar loss into profit and generated sales approaching \$20 million.

A RETAILING DYNASTY

Today, Radio Shack is still the dominant entity of Tandy Corporation with:

- Approximately 6,700 company-owned retail stores and dealer/franchise outlets nationwide;
- 55 million customers in 1992;
- \$2.8 billion sales in 1992;
- One of every three households in America purchase Radio Shack products each year;
- Radio Shack distribution centers ship more than one million cartons each month, or more than 38,000 per day, to stores.

Continued On Next Page

CONVENIENT AND DEPENDABLE

Radio Shack is the *ultimate consumer electronics service store*. In nearly 6,700 "neighborhood" locations, Radio Shack guarantees personalized and individualized attention -- fast and efficient. There are no long "warehouse-style" lines, no awkward shopping carts to maneuver, and no membership fees.

THE MOST COMPLETE SELECTION OF HARD-TO-FIND ELECTRONIC PARTS AND ACCESSORIES

Radio Shack has new products, new designs, new packaging, a new look and a new direction for the future. Approximately 3,500 different products are offered in each of its company-owned stores -- the most comprehensive and unique selection of high-quality products from any consumer electronics retailer.

Radio Shack has market leadership in product categories such as batteries, calculators, telephones, communications equipment, speakers, antennas, electronic components and accessories. Since introducing the first mass-marketed personal computer in 1977, Radio Shack has been a leader in PC retailing. Radio Shack sells the highly successful line of Tandy® personal computers for home, home office, education and small business users.

From electronic parts, accessories and tools to camcorders, digital compact cassette recorders and personal computers, *Radio Shack has delivered the products which customers need and want ... for more than 70 years.*

PLANNING FOR THE FUTURE

Radio Shack is continuously refocusing its business and innovative products to meet the ever-changing needs of American consumers. For example, the company plans to test a nationwide gift distribution program and a national program for repairing all brands of consumer electronic products.

DEMYSTIFYING TECHNOLOGY -- SERVICE AND SUPPORT

Radio Shack is demystifying technology with one of the strongest, best-trained service and support networks in the consumer electronics and personal computer industries. Store personnel participate in weekly training programs to further their product knowledge. Via the Tandy Satellite Television Network, a regular schedule of training broadcasts provides timely information, interactive training, and two-way communications to store personnel linked through more than 250 locations nationwide.

With nearly 6,700 drop-off points nationwide, Radio Shack has the largest -- and most convenient -- service network of any major retailer. All Radio Shack products are serviced and repaired by Tandy Consumer Services, a division of Tandy Corporation. Tandy Consumer Services has 108 service facilities throughout the continental U.S., Hawaii, Puerto Rico and St. Thomas.

Tandy Consumer Services is an authorized service provider for 62 name brand products and stocks more than 83,000 different parts for repair service. Most products are serviced within two working days.

Unlike other service providers, Tandy Consumer Services backs their services and the entire product for up to 45 days. Tandy Consumer Services is so thorough and reliable that less than two percent of the products have to be serviced a second time. This type of after-the-sale service and support is one reason why millions of customers shop at Radio Shack.

RADIO SHACK EXPRESS -- ADDED CONVENIENCE AND SERVICE

In May 1993, Radio Shack announced plans to open a new format of stores called Radio Shack Express. The first Express store opened in Philadelphia in June. Half the average size of a traditional company-owned store, these 1,200-square-foot Express stores will carry approximately 75 percent of the most popular electronics products sold in Radio Shack outlets nationwide and are to be located in selective, highly-populated markets where larger Radio Shack locations are not readily available.

A HOUSEHOLD NAME

Radio Shack's recognition in the marketplace -- and in American households -- is unparalleled. From its beginnings in 1921, the company's growth has been nothing short of phenomenal.

This growth and leadership can be attributed to the company's one and only goal -- customer satisfaction. "There are only two types of job disciplines at Radio Shack -- those who serve our customers directly and those who serve someone who does," said Len Roberts, president of Radio Shack.

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